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## Chapter 4

### Stock Counting



# Drinks Warehousing Stock Counting Functions

The primary functions of Drinks Warehousing are to record item locations and quantities and item movements. This incorporates a stock counting function which provides assistance with the control, documentation, reconciliation and adjustment of stock counting. This function exists for both warehouses and stockrooms. (See the Stock Counting section of the Drinks Inventory Management Product Information for details of the latter).

Reference data is maintained against the Inventory Stockroom definitions in order to provide the following:

- ABC Classification criteria for items.
- Count frequencies - number of counts per year for each ABC class of item.
- Tolerance criteria in order to assess count error conditions.

This data is used for recommendations and count creation, then, once the count lists are printed and actual stock quantities entered, again during the reconciliation process.

To assist in reconciliation, a report of item movements that have taken place since the first count reconciliation request can be produced and, if required, automatic stock movements can take place to adjust the computer stock figure.



*Note: Automatic stock adjustments are not allowed in a UK bonded warehouse.*

Please refer to the Drinks Inventory Management Product Information for further details on Stock Counting, enquiries, reports and utilities.

The Drinks Warehousing Stock Count functions apply to the default warehouse only. A user's default warehouse can be changed using the option 'Authorise users to warehouse'. All the Drinks Warehousing Stock Counting functions can be accessed from the Drinks Warehousing Stock Counting Menu.

# Stock Count Processing

Stock count processing follows the basic steps outlined below:

- Selection of the items to be counted either by:
  - ABC classifications.
  - Physical warehouse areas or locations.
  - Range of selected items.
  - Frequency.
- Review of the items recommended for counting if required.
- Printing of the count sheets, if not already requested when the item selection was made.
- Entry of the quantities of stock counted in the warehouse.
- Completion of the counts via reconciliation, where stock discrepancies are reviewed and necessary adjustments made.

## Count Creation

Stock count sheets for stock counting can be requested using four distinct methods:

- Time based cycle of ABC classification.
- Frequency based cycle of ABC classification.
- Physical warehouse areas or locations.
- Manual request via item ranges.

### **Time Based Cycle of ABC Classification**

The time based cycle method is designed to automatically suggest the items that require counting within a given warehouse, based on a pre-defined next due date. This date is set via a number of parameters that are defined for both the item within the warehouse and the warehouse as a whole. The item / warehouse has both a classification (A, B, C or Z) which is defined by the stockroom value / usage matrix, and an override classification (A, B, C or Z) which can be maintained manually in Drinks Inventory Management using the option 'Stockroom details'.

Usual practice says that a classification of 'A' is assumed to be a high value and/or high usage item within the warehouse, and a classification of 'C' is assumed to be a low value and/or low usage item within the warehouse. A classification of 'Z' will ensure that the item/warehouse combination is ignored when items are selected for counting.

In addition to the classification for the item/warehouse, the warehouse, if designated for count by ABC classification, will have a count objective per year and per A, B and C classification. Also a time interval in days can be calculated for each item within the warehouse, that defines the necessary period between counts in order to meet the yearly count objective for the warehouse.

### **Frequency Based Cycle of ABC Classification**

The frequency based cycle method is designed to automatically suggest the items that require counting within a given warehouse, based on previous performance. This date is set via the parameters defined for both the item within the warehouse and the warehouse as a whole, as for Time Based ABC Classification.

### **Manual Request by Item Range**

Manual item range selection allows items to be selected based on their inclusion within a range of warehouses, items, item groups (major and minor), item types and item classes. In addition to these range criteria, items can be selected by a range of count classifications (A, B, C, Z).

### **Physical Warehouse Areas / Locations**

Stock counts can be requested by a range of locations within a given area. In addition, specific location types can be selected with the omission of void locations.

# Count Profile Maintenance



## 1/DWS

This option allows you to set up profiles which control the range of items you want to count, and when.

For more information see Drinks Inventory Management, Stockcounting.

# Count Profile Enquiry



## 2/DWS

You use this option to enquire on count processing criteria and item and stockroom ABC classification for an Inventory stockroom or warehouse.

For more information see Drinks Inventory Management, Stockcounting.

# Regenerate ABC Classifications

## **1...** **2...** 11/DWS

This function facilitates the reclassification of items within a stockroom based on their average usage and cost in relation to the stockroom cost/usage matrix.

For more information see Drinks Inventory Management, Stockcounting.

# Create Count By ABC Recommendations



## 21/DWS

This option allows you to create stock counts based on the next count due date defined for each item within the warehouse.



*This option cannot be used if your default warehouse is set to 'INACTIVE' in the Warehouse Profile option.*

For more information see Drinks Inventory Management, Stockcounting.



# Create Count by Manual Range



**22/DWS**

Counts can be created for the default warehouse based on item range selection or item attribute selection or a list of items can be specified.

For more information see Drinks Inventory Management, Stockcounting.

# Create Count by Warehouse Location



## 23/DWS

Counts can be created for the default warehouse by location within a defined area.

The locations within the area can be selected using a range of criteria:

- Range selected by dimension.
- Status. Only active locations or all locations.
- Location type.

You can set a maximum number of locations to be selected to ensure that the count lists do not become too large.

Counts can be printed immediately or can be created as recommended counts to review prior to print.

## Create Count by Warehouse Location Select Area Screen



Select the Warehouse Location option.

This screen enables the area containing the required locations to be selected, and the date to be associated with the count specified.

|                                           |                                                 |          |                      |
|-------------------------------------------|-------------------------------------------------|----------|----------------------|
| IN125                                     | Z1 - Demonstration Company<br>Central Warehouse | User SP1 | 01/09/94<br>12:00:00 |
| <b>Create Count by Warehouse Location</b> |                                                 |          |                      |
| Area .....                                | MS                                              |          |                      |
| Count date .....                          | 010994                                          |          |                      |
| F3=Exit F4=Prompt                         |                                                 |          |                      |

### Fields:

#### Area

Warehouse area to be targeted for the count.

#### Count Date

The date which will be associated with the count recommendation.



Press **Enter** to display the Create Count by Warehouse Location Detail Screen.

## Create Count by Warehouse Location Detail Screen



This screen is displayed when you have entered a valid warehouse area and count date into the Create Count by Warehouse Location Selection Screen and enables the locations within the chosen area to be selected for stock counting.

|                                                     |                                                 |                                              |                      |
|-----------------------------------------------------|-------------------------------------------------|----------------------------------------------|----------------------|
| IN125                                               | Z1 - Demonstration Company<br>Central Warehouse | User SP1                                     | 01/09/94<br>12:00:00 |
| <b>Create Count by Warehouse Location</b>           |                                                 |                                              |                      |
| Area .....                                          |                                                 | MS                                           |                      |
| Count date .....                                    |                                                 | 1/09/94                                      |                      |
| <b>Location Ranges :</b>                            |                                                 | <b>From (?)</b>                              | <b>To (?)</b>        |
| Aisle                                               |                                                 | A                                            | B                    |
| Bay                                                 |                                                 |                                              |                      |
| Row                                                 |                                                 |                                              |                      |
| Location status .....                               |                                                 | 1 0=All 1=Active only                        |                      |
| Location type .....                                 |                                                 | RA                                           |                      |
| Maximum number of locns ..                          |                                                 | 300                                          |                      |
| Print count sheets .....                            |                                                 | 0 0=No,1=Yes                                 |                      |
| No of instructions/list ..                          |                                                 | 0                                            |                      |
| Organise count by .....                             |                                                 | 1 1=Warehouse 2=Area 3=Access to dimension 1 |                      |
| Sequence count by .....                             |                                                 | 2 1=Item 2=Location                          |                      |
| F3=Exit F4=Prompt F5=Refresh F8=Submit F12=Previous |                                                 |                                              |                      |
| F16=No.of locns                                     |                                                 |                                              |                      |

### Fields:

#### Location Ranges

Enter the range of dimension codes to be targeted for count creation within the area.

Leave both the 'From' and 'To' entry fields blank in order to select to the entire range of dimension codes for the particular dimension.

#### Location Status

0 - All. All locations defined by the dimension range will be selected.

1 - Active only. Void locations (as generated via the warehouse map) will be ignored, and only those locations that are defined as active will be selected from the dimension range.

#### Location Type

The locations targeted for count can be restricted by type. The location type entered must be a valid type as defined to the warehouse 'Location types' option.

If left blank, all location types found for the dimension range will be selected.

#### Maximum Number of Locations

Maximum number of locations to be targeted for count.

This defaults to the entry held on the Inventory descriptions file under major type 'WHNL', minor type 'MAX'.

It is strongly recommended that this value is maintained with a suitable value in order to guard against the entry of dimension ranges that will target an inappropriately large number of locations.

### **Print Count Sheet**

Indicates whether the stock counting sheets should be printed immediately after the generation of the recommendations. If selected for print the count becomes outstanding immediately after generation and the option to review recommendations prior to printing is bypassed.

Enter '1' to print immediately, '0' otherwise.

### **No of Instructions/List**

If 'Print count sheets' is set to '1' this value determines the maximum number of item or location details that are to be printed on an action list. This value will default to the value defined in the Warehouse list profile for count lists.

Entering '0' will indicate that a new list should not be initiated based the number of item or location details. New lists can however be initiated by the 'Organise count by' option.

### **Organise Count By**

If 'Print count sheets' is set to '1' this value will signal the start of a new list when the chosen option changes.



*Note: For example if 'Organise count by' is set to '2', Area, a new list is initiated for each change in area code. There may be several lists per area if the number of location or item details to be checked exceeds the value set for 'No of instructions/list'.*

1 - Warehouse. As the count only relates to your default warehouse, a new list will only be produced when the number of location or item details exceeds the value set for 'No of instructions/list'.

2 - Area. A separate count list is initiated for each change of area code within the warehouse.

3 - Access to dimension 1. A separate count list is initiated for each change of access to dimension 1. The access points are set up in the Drinks Warehousing maintenance and are used for example to produce one action list per Aisle in the warehouse, if Aisle is set up to be the first dimension.

### **Sequence Count By**

Determines the order of the stock count instructions on the action list.

1 - Item. The actions on the list are ordered by item.

2 - Location. The actions on the list are ordered by location code.

### **Functions:**

## F16

Review how many locations will be targeted for count based on the entered dimension range.



*Note: It is recommended that **F16=No of Locns** is used to guard against producing counts over a large number of locations.*



Press **F16=No of Locns** to check the number of locations, then press **F8=Submit** to submit the count request.

# Create Count by Frequency



24/DWS

Counts can be created for one or more stockrooms based on the following classes:

## **A Class - Daily Frequency**

The Stockroom Profile Counting Days indicates on which day of the week the item will be counted.

## **B Class - Weekly Frequency**

The Stockroom details 'Count Day' indicates on which single day of the week (1-7) the item will be counted.

## **C Class - Period Frequency**

The stockroom details 'Count Day' indicates on which single day of the period (1-35) the item will be counted.

Create Count By Frequency is normally used in place of Create Count by ABC Recommendations - however, it is possible to use both.

All other options are the same as for Count by ABC Recommendations (see Create Count by ABC Recommendations).



Tip: To control this option the ABC class override on the item / stockroom profile should be specified for all items.

For more information see Drinks Inventory Management, Stockcounting.

# Maintain Count



## 31/DWS

Recommended counts can be reviewed prior to printing if the option to print was not taken when the count was requested.

For more information see Drinks Inventory Management, Stockcounting.



## Enter Count Details



### 32/DWS

Stock count details are entered on a list by list basis. Details can be added, changed or deleted until the list is recorded as complete. In addition, lists can be deleted in their entirety and all associated items taken 'off count' (unless item details span a number of lists). When an item is taken 'off count' further count recommendations can be produced.

For more information see Drinks Inventory Management, Stockcounting.

# Complete Count Lists



## 33/DWS

If a count has many associated lists it may be easier to complete the list entries 'en masse' after all details have been entered and the results of reconciliation reviewed.

For more information see Drinks Inventory Management, Stockcounting.

## Print Count Sheets



### 41/DWS

This option allows you to print out count sheets for counts that have not previously been printed. You can maintain count recommendations prior to printing using the 'Maintain count' option.

For more information see Drinks Inventory Management, Stockcounting.

# Reprint Count Sheets



## 42/DWS

To enable the reprinting of count sheets. All lists for a count can be reprinted or specific lists can be selected.

For more information see Drinks Inventory Management, Stockcounting.

# Count Reconciliation Without Update



## 51/DWS

This function enables you to select a count for reconciliation, without update of Warehouse location balances.

For more information see Drinks Inventory Management, Stockcounting.

# Count Reconciliation With Update



## 52/DWS

This function enables you to select a count for reconciliation, with update of Warehouse location balances.

For more information see Drinks Inventory Management, Stockcounting.

## Reconciliation History Updates

The following count history updates are performed if count reconciliation is requested with update:

## Item Count History

- Count by Class

The number of recommended counts is incremented if the item was a planned summary recommendation.

The number of unplanned counts is incremented if the item was an unplanned recommendation i.e. originating from an addition via recommendations maintenance.

- Count by Manual Range

Number of unplanned counts is incremented.

- Count by Warehouse Location

Number of location counts is incremented.



## Stockroom Count History

- Count by Class

The numbers of A, B and C items counted are incremented for all items that were planned summary recommendations. In addition the numbers of A, B and C items that are in error are incremented for all items in error that were planned summary recommendations.

- Count by Frequency

See Count by Class.

- Count by Manual Range

The number of other counts is incremented. In addition the numbers of other counts that are in error is incremented if any of the items on the count are in error.

- Count by Warehouse Location

The number of location counts is incremented. In addition the numbers of location counts that are in error is incremented if any of the items on the count are in error.

# Recommended Counts Enquiry



## 61/DWS

This option facilitates the enquiry of recommended counts for a stockroom, prior to printing of details.

For more information see Drinks Inventory Management, Stockcounting.

# Outstanding Counts Enquiry



## 62/DIS

This option facilitates the enquiry of outstanding (printed) counts for a stockroom. Open or complete lists can be reviewed for a count.

For more information see Drinks Inventory Management, Stockcounting.

# Item Count Summary



## 63/DIS

This function enables the review of yearly summary count information by item; i.e. the number and type of counts carried out to date, last and next due count date.

For more information see Drinks Inventory Management, Stockcounting.

## Count History Enquiry



### 64/DIS

This function enables the review of stockroom summary count information by period. Counts are only included in this enquiry once a reconciliation with update has been run, even if no stock adjustments were actually generated.

For more information see Drinks Inventory Management, Stockcounting.